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| | | Defendants are no longer participating in this litigation. (See 6/11/26 Minute Order.)<br><br>While there is the outstanding sanctions order, contempt proceedings for failure to pay monetary sanctions is an unnecessary use of limited judicial resources. Plaintiffs have another, more direct option. They can enforce the sanctions order as it would a money judgment. An order for monetary sanctions is enforceable in the same way as a “money judgment;” i.e., a writ of execution may be issued by the court and levied on the property of the person sanctioned. An order imposing sanctions has the force and effect of a money judgment, and is immediately enforceable through execution. (*Newland v. Superior Court* (1995) 40 Cal.App.4th 608, 615.) The *Newland* court stated: “Weil and Brown observe that many attorneys seem to be unaware that monetary sanction orders are enforceable through the execution of judgment laws. [Citation.] These orders have the force and effect of a money judgment, and are immediately enforceable through execution, except to the extent the trial court may order a stay of the sanction. [Citation.]” (Ibid.)<br><br>Accordingly, Plaintiffs’ motion to hold Defendants in contempt is denied.<br><br>Plaintiffs’ motion for additional monetary sanctions is also denied for failure to comply with Code Civ. Proc., § 2023.040, which states that “[a] request for a sanction shall, in the notice of motion, identify every person, party, and attorney against whom the sanction is sought, and specify the type of sanction sought.” |
| 6. | 2024-1396182<br>E.M. Capital Investment, Inc vs. Garrison | Proposed Intervenor Bay-Valley Mortgage Group’s (“BVMG”) Motion for Leave to Intervene is denied.<br><br>BVMG moves under CCP section 387, for leave to intervene as a matter of right or, in the alternative, for permissive intervention, and allowing it to file a Complaint in Intervention against the defendant in this action, Brenden Garrison (“Defendant”). (ROA 124, 124.) Plaintiffs E.M. Capital Investment, Inc. and Network Funding Group, Inc. (collectively, “Plaintiffs”) oppose the motion. (ROA 159.)<br><br>Intervention is the procedure through which a nonparty to an action may become a party by requesting leave of court to join the plaintiff in claiming what is sought by the complaint, unite with the defendant in resisting the plaintiff’s claim, or demand anything adverse to both parties. (Code of Civ. Proc. § 387, subd. (a).) CCP section 387(b) is a compulsory joinder provision which permits a nonparty to intervene in litigation where it claims an “interest relating to the property or transaction which is the subject of the |

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| | | action" and "disposition of the action may as a practical matter impair or impede that person's ability to protect that interest." (Code of Civ. Proc. § 387, subd. (b).) The test for mandatory intervention is whether the nonparty would be substantially prejudiced by a judgment rendered in its absence. (Cal. Prac. Guide: Civ. Proc. Before Trial at ¶ 2:409.) On the other hand, courts *may* permit a nonparty to intervene in the action "if the person has an interest in the matter in litigation, or in the success of either of the parties, or an interest against both." (Code Civ. Proc., § 387, subd. (d)(2).) "The permissive intervention statute balances the interests of others who will be affected by the judgment against the interests of the original parties in pursuing their litigation unburdened by others." (*City and County of San Francisco v. State of California* (2005) 128 Cal.App.4th 1030, 1036.) "[I]t is well settled that the proposed intervener's interest in the litigation must be direct rather than consequential, and it must be an interest that is capable of determination in the action." (*Id.* at 1037.)<br><br>Whether intervention is mandatory or permissive, an application for intervention must be timely made. (Code Civ. Proc., § 387, subd. (d)(1), (d)(2). Timeliness does not focus on "the date the person learned of the litigation"; rather, it is measure from the time "the person attempting to intervene should have been aware his interest[s] would no longer be protected adequately by the parties." (*Id.* at 575.)<br><br>Here, BVMG contends it has a "direct, protectable interest" in the $539,000.00 in employee retention credits that Plaintiffs are seeking by way of this action against Defendant. BVMG points out that Plaintiffs (along with non-party, Adrian Enriquez) are suing BVMG (in the case ending -2240), based on their allegations that Plaintiffs are the "employees" of BVMG, the "employer." BVMG further contends that, as the alleged "employer," the employee retention credits belong to it, not Plaintiffs. (Mot. at pp. 2-3.) Plaintiffs oppose the motion on the grounds that BVMG fails to establish grounds for mandatory intervention, because "it has not established any interest at all in a potential monetary judgment in favor of Plaintiffs EMC and NFG. [BVMG's]'s claimed entitlement to the ERC funds is derivative and contingent on establishing certain facts in the Related Action." (Opp'n at p. 3.) With respect to permissive intervention, Plaintiffs argue that BVMG "does not have an interest in the present action that is 'of such a direct and immediate nature' that it will 'either gain or lose by the direct legal operation and effect of the judgment'" because, even if Plaintiffs prevail, "they will be awarded a monetary judgment against Brenden Garrison, not the immediate receipt of ERC fund." (Opp'n at p. 4.)<br><br>The Court finds Plaintiffs have the more persuasive argument. |

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| | | BVMG's argument misses the mark, because it has not proffered any evidence showing that Defendant converted funds that belong to BVMG, and not Plaintiffs. BVMG argues that Plaintiffs have alleged they are the "employees" (as the Branch Manager) of BVMG, and this necessarily means BVMG is entitled to the employee retention credits as the "employer." The written employment agreement between BVMG and Enriquez includes provisions regarding "Branch Personnel Compensation," "Branch Personnel Time Records," and the calculation of "Branch Expenses" and "Branch Revenues," among other terms, but BVMG has not pointed to any provision of the agreement that gives it the right to collect employee retention credits from Plaintiffs to the extent they were applied for on Plaintiffs' behalf. BVMG has not shown that the employee retention credits were a "source of income" or an "expense."<br><br>Even assuming for the sake of argument that BVMG may have ultimately received a benefit from Plaintiffs' procurement of the employee retention credits, it is not clear that any credits should have been paid directly to BVMG, as opposed to paid directly to Plaintiffs, which may, in turn, affect the accounting between them, such that BVMG may have a claim for damages, but not a direct claim to the credits. Because BMVG has not proffered any evidence that it has a right to direct receipt of the employee retention credits, the motion is denied. (See *Knight v. Alefosio* (1984) 158 Cal.App.3d 716, 723 [trial court did not abuse its discretion in denying insurer right to intervene where insurance contract was silent as to subrogation rights].)<br><br>Additionally, this application is untimely. BVMG has been on notice of this action since, at the latest, on or about 8/8/25, when it filed the notice of related case. (ROA 80.) The first amended complaint filed in the related case ending -7100 (on 8/6/25) reflects that BVMG knew or should have known it may have an interest in this action, which would not be adequately protected by Plaintiffs, given the litigation between them. Whether or not the hearing on this motion was advanced does not change the fact that BVMG waited months before bringing this motion.<br><br>Plaintiffs shall give notice of the ruling. |
| 7. | 2023-1338703 Biltagi vs. Transamerica Life Insurance Company | The unopposed motion by Plaintiffs/Cross-Defendants Bill Biltagi and Tropical Entertainment, Inc. (collectively, "Cross-Defendants") for judgment on the pleadings as to the first, fourth, and fifth causes of action alleged in the cross-complaint filed by Cross-Complainant Rami Fahil ("Fahil") is denied without prejudice. |